SIMPLIFYING GST

What the government, as per experts and business owners, can do to ease the multiple glitches in the taxation system

COSTLY, COMPLEX COMPLIANCE

MSMEs are required to file multiple GST returns for each state they operate in. They also have to invest in software tools for invoicing etc. All of it increases operational cost

SOLUTION **Reduce the number of returns, tax slabs, and regularise them to ensure entrepreneurs can file GST themselves**

RETROSPECTIVE NOTICES, LONG AUDIT WINDOWS

With a 6-year-plus audit window, notices are often sent years after the transaction

SOLUTION **Reduce the time frame to a more reasonable period of 1-2 years**

SUPPLIER-LINKED INPUT TAX CREDIT ISSUES

If a supplier's GST registration is cancelled, the buyer is penalised for wrongly claiming ITC

SOLUTION **Introduce a mechanism wherein the buyer doesn't have to bear this liability**

LACK OF CLARITY, DISCRETIONARY POWERS

Tax slabs for goods are categorised as per the HSN codes (e.g., caramel popcorn vs salted), leaving rules open to interpretation

SOLUTION **Reduce tax slabs and eliminate provisions requiring officer discretion, as they create opportunities for harassment and exploitation**

SCRUTINY BY MULTIPLE DEPARTMENTS

MSMEs can be scrutinised by several verticals—jurisdictional office, audit wing, anti-evasion team—for the same issue

SOLUTION **Introduce a centralised, single-window scrutiny system within the GST framework to eliminate overlaps**

LACK OF AWARENESS ABOUT RULES

New GST rules and compliance requirements often lead to confusion

SOLUTION **Implement awareness programmes through government and industry bodies**

SYSTEMIC CHALLENGES

Under the current GST regime, businesses are required to file three common returns in a month. The first is GSTR-1, a statement of total sales made, and the second is GSTR-3B, a record of net GST liability. The third, GSTR-2B, is a monthly auto-generated statement that captures the details of all purchases made in a given month. Businesses, essentially, get tax credit on the purchase of raw materials. So, once a seller files their sales return in their respective GSTR-1, the data automatically reflects in the buyer's GSTR-2B, allowing them to claim ITC on raw material purchases.

Simple as it sounds, the process is far from straightforward. The rigidity in the system makes it difficult for the less tech-savvy entrepreneurs to navigate the returns independently, says B.C. Bhartia, president, Confederation of All India Traders (CAIT), forcing them to hire professional services for the firm, which adds to their costs. "It is a clear case of a good law poorly implemented," he says. For instance, since GSTR-2B form is system-generated and auto-populated based on the supplier's filing of GSTR-1, any error or omission on the supplier's part can result in significant tax liability for the buyer for no fault of their own. Kedia demands a mechanism for entrepreneurs to report such discrepancies, with the government resolving them.

Citing another example, Kedia points out how if a supplier's GST registration is cancelled, the authorities often issue a notice to the buyer for "wrongly claiming" ITC, calling the transaction a fake deal, instead of pursuing the defaulting supplier. "Why should an entrepreneur be penalised for issues with the supplier's GST registration?" he asks. "The responsibility lies with the government to ensure that GST numbers are issued only to verified and compliant vendors. And if a GST registration is cancelled, such vendors should be barred from making sales altogether," says Rakesh Chhabra of RAI Industries Association, Sonipat, Haryana. He emphasises that this is a common problem for MSMEs—many are accused of falsely claiming ITC. However, not everyone has the resources to challenge it in court.

Another big problem with GST is that it leaves too much room for interpretation. HSN (harmonised system of nomenclature) codes determine how products are classified; often, a single product can fall into multiple categories. Who can forget finance minister Nirmala Sitharaman's popcorn math when, during the 55th GST Council meeting, she revealed that the ready-to-eat salty popcorn is taxed at 12 per cent, while the caramel variety would attract 18 per cent GST. "Even after seven years of GST implementation, so many products are still open to interpretation—with the Centre, the state and the entrepreneur each having their own way of reading the law," says Bhartia. The bigger issue, he adds, is that there is no central authority to conclusively resolve these ambiguities. The government did set up the Authority for Advance Ruling (AAR) to help taxpayers seek clarification on tax matters. However, since each state has its own AAR with differing interpretations, it defeats the very purpose of 'one nation, one tax'.